



**Employee Handbook –
Washington Addendum
January 2026**

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Meals and Rest Periods (for Non-Exempt Employees)

Rest Breaks

Non-exempt employees who work at least four (4) hours per workday are allowed to take one (1) 10-minute rest break for every four (4) hours worked. For example, if the employee works four (4) or more hours, but not more than eight (8) hours in a workday, the employee is required to take one (1) 10-minute rest break during the first four (4) hours of the shift. If the employee works eight (8) hours or more, but no more than 12 hours in a day, the employee is required to take two (2) 10-minute rest breaks, and so on.

Rest breaks should be taken as close to the middle of each work period of four (4) hours as is practical but in no event shall employees work more than three (3) consecutive hours in a four- (4-) hour work period without a rest break. Employees must take their rest breaks and are prohibited from working during their rest breaks. Employees are paid for all rest break periods and do not need to clock out when taking a rest break.

Rest breaks may not be combined with each other or with the meal period. In addition, rest breaks may not be taken at the beginning or end of the workday to arrive late or leave early. Unless otherwise instructed, rest breaks are self-directed and unscheduled and may be taken as time allows on either a continuous or intermittent basis (e.g., two (2) to three (3) "mini" breaks totaling 10 minutes). Examples of "mini" rest breaks are personal phone calls, eating a snack, having a cup of coffee, personal conversations, smoke breaks, and whenever the employee has the opportunity to take a break for a few minutes or more during a shift. It is a mandatory job duty for employees to advise Human Resources if they feel they do not have adequate opportunity for rest breaks, if they miss a rest break, or if they feel pressured to skip their rest breaks so they can be properly compensated.

Meal Periods

Non-exempt employees who work more than five (5) consecutive hours in a workday are provided an unpaid, off-duty and uninterrupted meal period of at least 30 minutes which must start no earlier than two (2) hours, but not more than five (5) hours after the start of their shift. For example, if the employee starts their day at 10:00 a.m., the first meal period must start no earlier than 12:00 p.m. and no later than 3:00 p.m. Thereafter, a meal period of at least 30 minutes is required for each five (5) consecutive hours worked during the workday. For example, if the employee starts their day at 10:00 a.m., and takes their first meal period between 2:30 p.m. and 3:00 p.m., the employee must start a second meal period no later than 8:00 p.m. —i.e., within five (5) hours after the end of their first meal period.

Employees working three (3) or more hours longer than their normal workday will be allowed one (1) 30-minute meal period prior to or during the extended portion of their shift. For purposes of this requirement, a normal workday is the shift the employee is regularly scheduled to work.

Employees are responsible for scheduling their own meal periods but should discuss strategies and plans for ensuring their meal periods with their supervisor(s) as needed. When scheduling meal periods, employees should try to anticipate their workflow and deadlines but must take their meal periods in accordance with the above timing requirements, and in no event should any employee work more than five (5) consecutive hours without a meal period (unless the meal period is voluntarily waived). During a meal period, employees are relieved of all duties and should not work during this time. When taking a meal period, employees should completely stop working for at least 30 continuous minutes. Employees are prohibited from working "off the clock" during their meal period.

Those employees who use a time clock must clock out for their meal periods. Employees are required to clock back in and promptly return to work at the end of any meal period. Employees who record their time manually must accurately record their meal periods by recording the beginning and end of each work period. Employees must immediately notify Human Resources if they believe that they are prevented by the nature of their work from taking a timely and/or complete meal period so that they can be properly compensated.

If any employee's meal period is interrupted due to the employee performing a task, upon completion of the task, the meal period will be continued until the employee has received 30 minutes total of mealtime (with the entire meal period being paid and reported as hours worked, and the time spent performing the task not being considered part of the meal period). Employees must immediately notify Human Resources if they had their meal period interrupted so that they can be properly compensated and paid for their time.

Meal Period Waiver

Non-exempt employees are encouraged to take their meal periods. However, with the Company's permission, employees may be allowed to voluntarily waive their meal periods, and if they wish to do so on a standing basis, should complete a form documenting the same. Employees who execute a standing waiver can revoke this waiver at any time, either on an occasional or continuing basis. employee should contact Human Resources to obtain this waiver form.

Employees who do not waive their meal periods on a standing basis may also be allowed to waive their meal periods on a one-off, situational basis. For example, any employee who has 10 minutes left on their shift when they are approaching the five (5) continuous hours of work threshold (and would otherwise be required to take a full 30-minute meal period), may want

to waive their meal period on that single occasion, rather than clock out for a full 30 minutes, only to return to work for the remaining 10 minutes left in their shift.

No Working During Rest Breaks and Meal Periods

Non-exempt employees are completely relieved of all work duties and responsibilities during their rest breaks and meal periods. Where practicable, rest breaks and meal periods should be taken outside employees' work areas, such as in a break room. Employees may leave the premises during meal periods but may not leave the premises during rest periods. Employees should not visit or socialize with employees who are working while taking their rest break or meal period. Employees are required to notify Human Resources immediately if they believe they are being pressured or coerced by any supervisor or other employee to forego any portion of a rest break or meal period and/or to not report any missed, interrupted, or non-compliant rest breaks or meal periods.

Summary Chart

Below is a chart that generally summarizes the number of rest breaks and meal periods provided to employees **(these figures may vary depending on the timing of the employees' breaks)**.

Hours of Work	Rest Breaks	Meal Breaks
Less than 4 hours	0	0
4 hours – 4 hours 59 min	1	0
5 hours – 7 hours 59 min	1	1
8 hours – 9 hours 59 min	2	1*
10 hours – 11 hours 59 min	2	2*
12 hours – 14 hours 59 min	3	2*
15 hours – 15 hours 59 min	3	3*
16 hours – 19 hours 59 min	4	3*
20 hours – 23 hours 59 min	5	4*

* As detailed above, the timing of any meal periods after the first meal period varies depending on when the employee took a first meal period. For example, any employee taking their first meal period between hour three (3) and hour three and a half (3.5) in their shift is due a second meal period no later than five (5) hours after the end of their first meal period—i.e., eight and a half (8.5) hours into their shift.

Paid Family and Medical Leave

Eligibility

Employees who have worked 820 hours in the qualifying period (equal to 16 hours a week for a year) are eligible to apply for paid medical leave or paid family leave (collectively PFML). "Qualifying period" means the first four (4) of the last five (5) completed calendar quarters or, if eligibility is not established, the last four (4) completed calendar quarters immediately preceding the application for PFML. The 820 hours are cumulative, regardless of the number of employers or jobs someone has during a year. All paid work over the course of the year counts toward the 820 hours, including part-time, seasonal, and temporary work.

Entitlement

PFML is available to eligible employees for up to 12 weeks within any 52 consecutive week period. PFML may be used:

- To participate in providing care, including physical or psychological care, for a family member (child, grandchild, grandparent, parent, sibling, spouse, child's spouse, state registered domestic partner, or anyone who has an expectation to rely on the employee for care, whether living in the same household or not) with a serious health condition;
- To bond with the employee's child after the child's birth or after the placement of a child under the age of 18 with the employee;
- Because of any qualifying military exigency as permitted under the federal Family and Medical Leave Act (FMLA) for the employee's family member (child, grandchild, grandparent, parent, sibling, spouse, child's spouse, or state registered domestic partner of the employee);
- Because of the employee's own serious health condition; or
- Because of the death of the employee's child for whom the employee would have qualified for medical leave for the birth of the child or would have qualified for family leave to bond with the child during the seven (7) calendar days following the death.

For purposes of the above, unless the context clearly requires otherwise, "child" includes: biological, adopted, or foster child; or a stepchild or a child to whom the employee stands in loco parentis, is a legal guardian, or is a de facto parent regardless of age or dependency status. "Parent" includes biological, adoptive, de facto, or foster parent; stepparent or legal guardian of the employee or the employee's spouse or state registered domestic partner; or an individual who stood in loco parentis to the employee when the employee was a child.

Qualifying military exigencies may include attending certain military events, arranging for alternative childcare, addressing certain financial and legal arrangements, attending certain

counseling sessions, caring for the parents of the military member on covered active duty, and attending post-deployment reintegration briefings.

If the employee faces multiple events in a year, the employee may be eligible to receive up to 16 weeks, and up to 18 weeks if the employee experiences a serious health condition during pregnancy that results in incapacity.

Leave to care for the employee's child after birth, or placement for adoption or foster care must be taken within one (1) year of the child's birth or placement. Leave for any other reason must be taken within one (1) year of the date of which the employee filed an application for the benefits.

These benefits are financed through employee contributions to the PFML program. The program is administered by the Washington Employment Security Department (ESD). The Company will calculate and withhold premiums from employees' paychecks and send both employees' shares and the Company's share, if applicable, to ESD on a quarterly basis.

While on PFML, employees are entitled to partial wage replacement at a portion of their average weekly pay. There is a waiting period of up to seven (7) consecutive calendar days of leave, but employees may use any paid time off (including vacation leave, personal leave, medical leave, sick leave, compensatory leave, or any other paid leave offered under the Company's established policy) to receive compensation during that waiting period. No waiting period is required where leave is for the medical leave for the birth parent taken upon the birth of a child, family leave for bonding after birth or placement of a child or for a military exigency. A waiting period will not reduce the maximum duration of any employee's available paid family or medical leave.

If the employee's average weekly wage is 50 percent or less of the state average weekly wage, the employee's weekly benefit is 90 percent of the average weekly wage. If the employee's weekly benefit is greater than 50 percent of the of the state average weekly wage, the weekly benefit is the sum of:

- Ninety percent of fifty percent of the state average weekly wage; and
- Fifty percent of the employee's average weekly wage that is greater than Fifty percent of the state average weekly wage.

The ESD sets the maximum weekly benefit for PFML, and it will be adjusted effective January 1 of each subsequent year as determined by the state based on 90 percent of the state's average weekly wage. Employees will be paid benefits directly by ESD rather than by the Company.

In any week in which the employee is eligible to receive benefits under Wash. Rev. Code tit. 50 (unemployment compensation) or certain provisions of Wash. Rev. Code tit. 51

(industrial insurance) or any other applicable federal unemployment compensation, industrial insurance, or disability insurance laws, the employee is disqualified from receiving PFML.

Definition of a Serious Health Condition

A serious health condition is an illness, injury, impairment, or physical or mental condition that involves: inpatient care in a hospital, hospice, or residential medical care facility; or continuing treatment by a health care provider. Subject to certain conditions, the continuing treatment requirement may include, but is not limited to:

- A period of incapacity of more than three (3) consecutive, full calendar days, and any subsequent treatment or period of incapacity relating to the same condition;
- Any period of incapacity due to pregnancy, or for prenatal care;
- Any period of incapacity or treatment for such incapacity due to a chronic serious health condition;
- A period of incapacity which is permanent or long term due to a condition for which treatment may not be effective; or
- Any period of absence to receive multiple treatments, including any period of recovery from the treatments, by a healthcare provider or by a provider of health care services under orders of, or on referral by, a health care provider, either for: restorative surgery after an accident or other injury; or a condition that would likely result in a period of incapacity of more than three (3) consecutive, full calendar days in the absence of medical intervention or treatment, such as cancer, severe arthritis, or kidney disease.

Use of PFML

Employees do not need to use PFML in one block. PFML can be taken intermittently in minimum increments of eight (8) *(four (4) effective January 1, 2026)* consecutive hours in a week. PFML taken on an intermittent basis will not result in a reduction of the total amount of PFML to which the employee is entitled beyond the amount of PFML actually taken.

Employee Notice

Employees must provide the Company at least 30 days' written notice before PFML is to begin if the need for PFML is foreseeable based on an expected birth, placement of a child, or planned medical treatment for a serious health condition. Employees must provide the Company written notice as soon as is practicable when 30 days' notice is not possible, such as because of a lack of knowledge of approximately when PFML will be required to begin, a change in circumstances or a medical emergency. Employees must provide written notice as soon as is practicable for foreseeable PFML due to a qualifying military exigency,

regardless of how far in advance such PFML is foreseeable. When the need for PFML is not foreseeable, employees must provide written notice as soon as is practicable under the facts and circumstances of the particular situation. If the employee is unable to provide notice personally, written notice may be given by another responsible party, such as the employee's spouse, neighbor, or coworker.

The employee must provide written notice to make the Company aware that the employee may need PFML. The notice must contain at least the anticipated timing and duration of the PFML. Written notice includes, but is not limited to, handwritten or typed notices and all forms of written electronic communications such as text messages and email.

Whether PFML is to be continuous or is to be taken intermittently or on a reduced schedule basis, written notice need only be given one time, but the employee must inform the Company as soon as is practicable if dates of the scheduled PFML change, are extended or were initially unknown.

Filing Claims with the ESD

The employee may apply for PFML benefits by:

- Using the ESD online services;
- Contacting the paid family and medical leave customer care center by telephone; or
- Using alternate methods authorized by ESD.

When the employee submits an application for PFML benefits, the employee must provide information sufficient for ESD to determine eligibility for benefits. This information includes, but is not limited to, information identifying the employee, the type and anticipated duration of PFML, as well as certification or documentation to validate the qualifying event. If the employee is in a claim year and has need for successive periods of benefits for the same qualifying event beyond what was originally approved, the employee must update the application. If the employee experiences a new qualifying event during a claim year, the employee must reopen the claim and provide additional information required by ESD before benefits can be paid.

Any time the employee applies for PFML benefits, the application must be supported by documentation or certification as required by applicable law. For example, when PFML is taken because of the employee's own serious health condition or the serious health condition of a family member, medical certification from a health care provider will be required. However, the employee does not need to obtain medical certification during the six- (6-) week postnatal period.

The ESD is solely responsible for determining if employees is eligible for benefits.

Supplemental Benefits During PFML

The Company does not offer supplemental benefits to employees who are receiving PFML.

Job Benefits and Protection

Until December 31, 2025, employees' eligibility for health insurance benefits while using PFML depends upon the terms of the insurance plan and/or the employees' use of FMLA, if applicable. If Employees are eligible to maintain their health coverage during PFML, Employees who contribute to the cost of their health insurance must continue to pay their portion of the premium cost while on PFML.

Beginning January 1, 2026, subject to certain exceptions noted below, the Company will maintain any existing health benefits of the employee in force for the duration of PFML as if the employee had continued to work from the date the employee commenced PFML until the date the employee returns to employment. If the Company and employee share the cost of the existing health benefits, the employee remains responsible for the employee's share of the cost. Exceptions to this general continuation entitlement include, if the employee:

1. Is not employed by the Company at the time of filing an application for PFML benefits;
2. Is not entitled to job protection as noted below; or
3. Did not timely exercise the right to employment protections under the PFML Act.

Employees who return from PFML generally will be restored to a same or equivalent job if:

- Until December 31, 2025, the Company has 50 or more employees and the employee has worked for the Company for at least 12 months and has worked 1,250 hours in the 12 months before taking PFML (about 24 hours per week, on average).
- From January 1, 2026, to December 31, 2026, they work for an employer with 25 or more employees and began employment with this employer at least 180 calendar days before taking the leave.
- From January 1, 2027, to December 31, 2027, they work for an employer with 15 or more employees and began employment with this employer at least 180 calendar days before taking the leave.
- Beginning January 1, 2028, they work for an employer with eight (8) or more employees and began employment with this employer at least 180 calendar days before taking the leave.

Otherwise, employees taking PFML are not guaranteed job reinstatement unless they qualify for such reinstatement under federal and/or state leave laws or other applicable laws.

The use of PFML cannot result in the loss of any employment benefits that accrued prior to the start of PFML.

Beginning January 1, 2026, the above-mentioned job protection applies to any period of unpaid leave protected by the federal FMLA where employees are eligible for PFML benefits but did not apply for and receive those benefits, excluding unpaid sick leave or temporary disability taken for pregnancy or childbirth or as an accommodation.

Beginning January 1, 2026, to be eligible for the above-mentioned job protections, employees must exercise their right to reinstatement on the first scheduled workday after their continuous or combined intermittent leave. For any period of leave that exceeds either two (2) workweeks of continuous leave or 14 workdays of combined intermittent leave, the Company will provide the employee with at least five (5) days' written notice of their first scheduled workday, as well as the estimated expiration of the employee's restoration rights.

Beginning January 1, 2026, except by written agreement between the Company and employee or between the Company and employee bargaining unit, the employee forfeits the right to employment restoration if, after receiving at least five (5) business days advance written notice from the Company regarding the estimated expiration of the right of employment restoration and the date of the employee's first scheduled work day, the employee does not exercise it upon the earlier of:

1. The first scheduled work day following the period of leave; or
2. The first scheduled work day following a continuous period of, or combined intermittent periods of a total of, 16 typical workweeks of leave taken during a period of 52 consecutive calendar weeks, except this period is extended to 18 typical workweeks of leave taken during a period of 52 consecutive calendar weeks if any of the leave was taken as a result of a serious health condition with a pregnancy resulting in incapacity.

FMLA Concurrent with PFML

Any leave that the State of Washington grants to an employee for PFML will run concurrently with FMLA, if applicable, with the exception of any leave for sickness or temporary disability because of pregnancy or childbirth, which is in addition to PFML. Please see the "Family and Medical Leave" policy for eligibility requirements under the FMLA and see the "Pregnancy and Childbirth Leave" policy for eligibility requirements for pregnancy leave.

Questions and/or Complaints about PFML

The Company is prohibited from discriminating or retaliating against employees for requesting or taking PFML.

For more information on PFML, employees may go to paidleave.wa.gov or speak with Human Resources.

Leave for Victims of Domestic Violence, Sexual Assault, Stalking, or Hate Crime

If any employee or the employee's family member is a victim of domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime, the employee may be eligible to take reasonable, unpaid time off from work for one (1) or more of the following reasons:

- To seek legal or law enforcement assistance or remedies to ensure the health and safety of the employee or a family member including, but not limited to, preparing for or participating in any civil or criminal legal proceeding related to or derived from domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime;
- To seek treatment by a health care provider for physical or mental injuries caused by domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime or to attend to health care treatment for a victim who is a family member;
- To obtain or assist a family member in obtaining services from a domestic violence shelter, rape crisis center, or other social services program for relief from domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime;
- To obtain or assist a family member in obtaining mental health counseling related to an incident of domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime, in which the employee or family member was a victim of domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime; or
- To participate in safety planning, temporarily or permanently relocate, or take other actions to increase personal safety or that of family members from future domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime.

For purposes of this policy, "family member" means a child, spouse, parent, parent-in-law, grandparent, or person with whom the employee has a dating relationship.

Leave may take the form of reasonable unpaid leave from work, intermittent leave, or leave on a reduced leave schedule.

Employees may elect to use any sick leave or other paid time off for leave pursuant to this policy.

Employees wishing to take leave pursuant to this policy must give advance notice of two (2) days of their intention to take leave to Human Resources. When advance notice cannot be given because of an emergency or unforeseen circumstance due to domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime, the employee or a designee must give notice no later than the end of the first day on which such leave is taken.

Verification of the need for leave may be required.

Victims of domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime also may request safety accommodations such as:

- Transfers;
- Reassignments;
- Modified schedules;
- Changed work telephone numbers and email addresses;
- Changed workstations;
- Locks installed;
- Additional safety features; or
- Any other adjustments to job structures, workplace facilities, or work requirements in response to actual or threatened domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime.

Employees should direct safety accommodation requests to Human Resources. Semantic Arts will make a reasonable safety accommodation requested by an individual who is the victim of domestic violence, sexual assault, stalking, or, effective January 1, 2026, hate crime, unless doing so would impose an undue hardship on the operation of the business. If the requested accommodation would impose an undue hardship on the business, the Company will engage in an interactive dialogue with the employee to identify other possible accommodations, if any, that will help to maintain a safe workplace and reserves the right to offer its own accommodation to the extent permitted by law. The Company may require verification of the need for accommodation.

The Company will not tolerate retaliation against any employee who attempts to exercise rights under applicable law.

If employees have any questions regarding this policy, they should contact Human Resources.

Pregnancy and Childbirth Leave

Employees are eligible to take unpaid leave for the actual period of time that they are sick or temporarily disabled because of pregnancy, childbirth or related medical conditions.

Any employees wishing to request leave because of a pregnancy-related disability must provide appropriate medical certification.

This leave is available regardless of whether the employee qualifies for leave under Semantic Arts's Family & Medical Leave policy. This leave does not count towards the

employee's leave entitlement, if any, under the Washington State Paid Family and Medical Leave Act (PFML), but FMLA leave will run concurrently with this leave.

During this leave, employees may use any applicable paid time off benefits that they have available to cover some or all of the absence. Otherwise, the leave will be unpaid. Group health and other benefits will be handled in the same manner as for any other similar pregnancy or non-pregnancy related absence.

If employees take this leave only for the actual period of disability, as certified by their health care provider, then they ordinarily will be allowed to return from this leave to the same job they held when the leave began or to a similar job of at least the same pay. Exceptions to this general rule will be made only if the Company has a business necessity to do otherwise.

If employees have any questions regarding this policy, they should contact Human Resources.